IN THE NATIONAL COMPANY LAW TRIBUNAL,
SINGLE BENCH, CHENNAI

CP/233/CAA/2018
in
CA/173/CAA/2018

Under Section 230 and other applicable provisions of the Companies Act, 2013 r/w Companies (Compromises, Arrangements And Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016.

In the matter of Scheme of Arrangement

M/s. SOLARWINDS INDIA PRIVATE LIMITED
... Petitioner Company

And

Their respective Shareholders

Order delivered on 3rd January, 2019

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CH. MOHD SHARIEF TARIQ, MEMBER (JUDICIAL)

For Petitioner(s) : M/s. Pawan Jhabakh, Counsel

ORDER

Per: CH. MOHD SHARIEF TARIQ, MEMBER (JUDICIAL)

1. Under consideration is the Company Petition No.233/CAA/2018 filed under Section 230 and other applicable provisions of the Companies Act, 2013 r/w Companies (Compromises, Arrangements and

Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016.

2. The present Scheme of Arrangement (in Short, **'the Scheme'**) has proposed to permit the Company for the reduction of the issued, subscribed and paid-up equity share capital of the Company for the reason to return part of the capital to the shareholders of the Company as the paid-up capital is in excess of its requirement. The registered office of the Petitioner Company is situated at No.16, III Floor, RMS Apartments, #12, Gopalkrishna Street, Pondy Bazaar, T.Nagar, Chennai – 600 017.

3. The Petitioner Company is engaged in the business of software designing, development, customization, implementation, maintenance, testing and benchmarking, designing, developing and dealing in computer software and solutions, and to import, export, sell including the domestic sales, purchases, distribute and develop computer software, hardware, computer software packages, programs and solutions, etc. The details of the main objects are elaborately set out in the

Memorandum of Association of the Petitioner Company. The Board of Directors vide their Resolution(s) dated 13.07.2018 have approved the said Scheme.

4. This Bench vide Order dated 26.09.2018 in CA/173/CAA/2018, dispensed with the convening, conducting and holding of the meeting of the Equity Shareholders. There is 'nil' Secured/Unsecured Creditor in relation to the Petitioner Company as per the Certificate issued by the Chartered Accountants. In short, the Petitioner Company has complied with all the requirements of law for the approval of the Scheme under consideration.

5. The Counsel appearing for the Petitioner Company has submitted that the present Scheme is for restructuring of the share capital of the Petitioner Company. The Board of Directors have proposed to reduce and cancel 2,45,988 equity shares of Rs.10/- each. Of the total cancelled shares 2,37,789 equity shares of Rs.10/- each are held by SolarWinds Software Europe (Holdings) Limited, Ireland, and 8,199 equity shares of Rs.10/- each are held by SolarWinds Software Europe

Limited, Ireland in the Petitioner Company. This would facilitate and provide SolarWinds Software Europe (Holdings) Limited, Ireland and SolarWinds Software Europe Limited, Ireland, liquidity for their investments and also return funds which are in excess of the wants of the Petitioner Company. The amount of consideration payable to SolarWinds Software Europe (Holdings) Limited, Ireland and SolarWinds Software Europe Limited, Ireland, as resolved and decided by the Board of Directors of the Petitioner Company is supported by valuation report dated 29th June 2018, obtained from an independent Chartered Accountants which is in accordance with the Foreign Exchange Management Act, 1999 and the regulations / rules made thereunder. Further, this Scheme does not involve diminution of any liability in respect of unpaid capital and there are no partly paid-up shares, but the reduction of capital involves the reduction of paid-up share capital, as on the Appointed Date, to the shareholders of the Petitioner Company to the extent of 2,45,988 equity shares of Rs.10/- each. Further, the Scheme of Arrangement for reduction of share capital shall result

in the annulment of issue of the bonus shares pursuant to the ordinary resolution of the shareholders of the Petitioner Company dated 23rd May 2017.

6. The Regional Director, Southern Region (In short, **'RD'**) in the Affidavit dated 17.12.2018 has submitted that para 4 of the Scheme under heading Rational for the Scheme of Arrangement has stated that the Company proposes to reduce the paid-up capital from the present 2,45,988 shares of Rs.10/- each to 2,37,789 equity shares of Rs.10/- each. It is further stated that as per para 4.4 of the Scheme after the above said reduction of paid-up capital the Company's paid-up capital will be 44,252 shares of Rs.10/- each only. The Scheme of the Company further proposes to pay Rs.511.93 per share i.e., including the premium amount of Rs.501.93 per share. The Company proposes to utilize its entire share premium accounts as provided under Section 52 of the Act and also utilize part of the accumulated Profit and Loss account. The premium involved is Rs.6,12,24,442/-. After utilizing part of the Profit and

Loss account, the Company will be left with Rs.1,90,40,600/- in the said account.

7. The RD has further submitted that the Petitioner Company has no secured/unsecured creditors, which was certified by the Chartered Accountants. It has been submitted that as per records of the RoC, Chennai, the Company is regular in filing the statutory returns, and no complaints are pending and no inspection or investigation has been conducted against the Company.

8. The RD has also submitted that the Company has increased its authorized capital to the extent of Rs.20 lakhs, therefore, he suggested that the Company has to file the necessary form and pay fees to RoC, Chennai. The RD has not raised any other objection.

9. In relation to the observation(s) made by the RD in his Affidavit, the authorized person of the Petitioner Company has filed an Affidavit deposing therein that the Petitioner Company undertakes to comply with the provisions of law as may be applicable and obtain

necessary approvals as may be required upon the Scheme of Arrangement being sanctioned. It has been further deposed in the said Affidavit that the Scheme of Arrangement does not fall within the thresholds as provided under the Competition Act, 2002, and there is no requirement of obtaining the approval of the Competition Commission of India under the Competition Act, 2002.

10. The independent Chartered Accountants has observed in his report at page No. 134 of the typed set filed with the Petition that there is no specific Accounting Treatment prescribed for reduction of share capital in the accounting standards prescribed under Section 133 of the Act. The proposed Accounting Treatment prescribed in the Scheme where, the excess of price paid over the par value of shares is to be debited to securities premium account, to the extent available and balance to the surplus in profit and loss account is in line with the requirements of Section 52(1) of the Companies Act, 2013, subject to approval of such debit by the NCLT as required under the Act.

11. There is no additional requirement for any modification and the said Scheme of Arrangement appears to be fair and reasonable and is not contrary to public policy and not violative of any provisions of law. All the statutory compliances have been made under Sections 230 to 232 of the Companies Act, 2013. Taking into consideration the above facts, the Company Petition is allowed and the Scheme of Arrangement annexed with the Petition is hereby sanctioned which shall be binding on the Shareholders and employees of the Petitioner Company. The Appointed Date of the said Scheme is 01.04.2017.

12. While approving the Scheme as above, it is clarified that this Order will not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

13. The Company to the said Scheme or other person interested shall be at liberty to apply to this Bench for any direction that may be necessary with regard to the working of the said Scheme.

14. The certified copy of this Order shall be filed with the concerned Registrar of Companies, as per the procedure prescribed.

15. The Order of sanction to this Scheme shall be prepared by the Registry as per the relevant format provided under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, notified on 14th December, 2016.

16. Accordingly, the Scheme stands sanctioned and CP/233/CAA/2018 **stands disposed of.**

(CH. MOHD SHARIEF TARIQ)
MEMBER (JUDICIAL)

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